INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Amazon.com

1 June 2026 · the qualitative

$238.55

NASDAQ : AMZN · Mature-Company DCF

$2561B mkt cap · 10.73B sh · $123B cash, $68.4B net debt · $123B cash vs ~$54B net cash after lease/debt; ~10.73B shares; no dividend, capital is plowed into capex not buyback; Revenue $716.9B FY25 (+12%); GAAP op margin 11.2% (record); FCF crushed to ~$7.7B (~1%) by the ~$200B AI capex surge; ~$238.55, +14% TTM, down ~10% over 30 days on capex fears; 52-wk range $196-$279

THE CENTRAL QUESTION

Does Amazon's ~$200B/yr AI-infrastructure capex earn its cost of capital as AWS reaccelerates — or compress returns into an overbuild before FCF recovers off the FY25 trough?

Amazon trades at ~$2.56T (~$238.55, +14% TTM, down ~10% in 30 days on capex fear) - but the FCF multiple is distorted: FY25 free cash flow was crushed to ~$7.7B (from ~$33B in FY24) by a ~$200B AI-data-center build. The DCF models FCF margin recovering off that trough as AWS reaccelerates (+28%) and retail/ads margins expand. The finding is roughly fair (-6.9%): the modal base ~-12% as depreciation lags monetization, a wide spread either way.

PROBABILITY-WEIGHTED EXPECTED VALUE

$222.01 expected fair value today

-6.9% vs spot $238.55

FORWARD COMPOUNDED VALUE

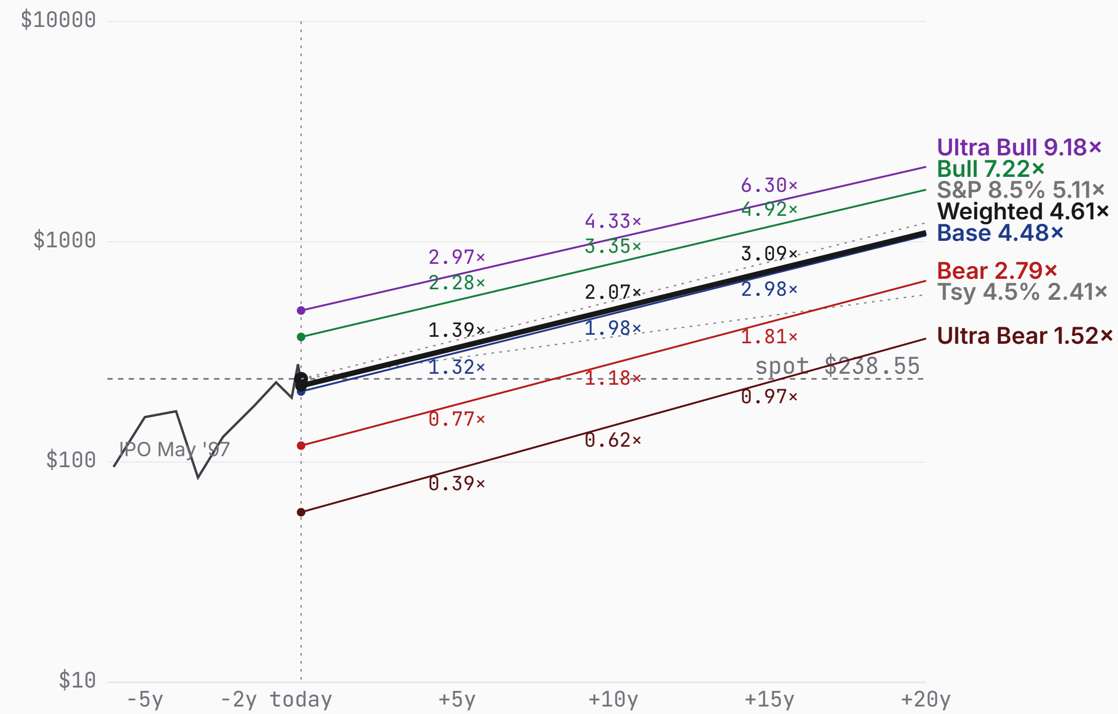
+5y	+10y	+15y	+20y
$331.00	$493.71	$736.73	$1,099.87
1.39× spot	2.07× spot	3.09× spot	4.61× spot

WEIGHTING RATIONALE

Ultra Bear 12% AI overbuild; FCF stays trough-bound; ~$59 (-75%).
Bear 26% AWS holds but FCF recovers slowly; ~$119 (-50%).
Base 34% AWS reaccelerates; FCF normalizes to ~11%; ~$209 (-12%).
Bull 20% AI ROIC compounds; margin re-rates; ~$370 (+55%).
Ultra Bull 8% AWS AI platform; full re-rate; ~$487 (+104%).

Bull (20%) + Ultra Bull (8%) together contribute $112.94 — 51% of the $222.01 expected value despite 28% combined probability. Today's spot ($238.55) sits 7% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$59.20	$118.75	$209.08	$369.75	$487.39
-75.2% vs spot	-50.2% vs spot	-12.4% vs spot	+55.0% vs spot	+104.3% vs spot
CAGR +6.8% WACC 9.5%	CAGR +9.6% WACC 9.0%	CAGR +11.6% WACC 8.5%	CAGR +14.2% WACC 8.0%	CAGR +16.2% WACC 7.8%
CAGR +6.8% Prob 12%	CAGR +9.6% Prob 26%	CAGR +11.6% Prob 34%	CAGR +14.2% Prob 20%	CAGR +16.2% Prob 8%
AI overbuild; FCF stays trough-bound.	AWS holds; FCF recovers slowly.	AWS reaccelerates; FCF normalizes to ~11%.	AI ROIC compounds; margin re-rates.	AWS AI platform; full re-rate.

AR 2EB ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Amazon.com scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 26% Base 34% Bull 20% Ultra Bull 8% · Weighted expected $222.01 (-6.9% vs spot)

ULTRA BEAR $59.20

-75.2% vs spot

Probability 12%

AI overbuild; FCF stays trough-bound.

WHY 12%

The structural-overbuild case: capex jumped +77% YoY with a 6-24 month monetization lag, the FTC Buy-Box trial opens Oct 2026, and International OI is already declining. 12% weight on the build failing to earn its cost of capital.

WHAT HAPPENS

The ~$200B capex never earns its cost of capital: AI demand cools or commoditizes, AWS growth fades back toward the teens, depreciation outruns monetization, and an FTC/EU overhang drags. FCF margin barely lifts off the ~1% FY25 trough toward 5% as the build keeps absorbing cash. Revenue still compounds ~6% on retail/ads but operating margin stalls near 10%.

An overbuilt hyperscaler whose capital doesn't convert earns a low-growth ~15x terminal FCF multiple → DCF ~$59 (-75%). The net cash sets a floor, but a stranded-asset AI build cannot be discounted away.

BEAR $118.75

-50.2% vs spot

Probability 26%

AWS holds; FCF recovers slowly.

WHY 26%

AWS keeps share but the capex digestion period drags FCF recovery, with the antitrust and International-margin overhangs intact. 26% as the plausible 'grows but cash conversion lags' path.

WHAT HAPPENS

AWS grows but decelerates off the +28% print, capex stays elevated for several years, and depreciation keeps a lid on margins, so FCF margin claws only partway back toward 8%. Retail and advertising keep expanding but can't fully offset the AI-infrastructure drag. Revenue compounds ~9% to ~$1.1T at a still-suppressed FCF margin.

DCF ~$119 (-50%) - a hyperscaler whose free cash flow lags its revenue while it digests a multi-year build is worth well below today's price; the market's capex worry is warranted if FCF recovers only slowly.

BASE $209.08

-12.4% vs spot

Probability 34%

AWS reaccelerates; FCF normalizes to ~11%.

WHY 34%

Requires AWS to hold high-20s% growth and FCF to normalize off the trough as the build monetizes - consistent with the +28% print, Trainium sold-out demand, and the capex peaking, but not a step-change. 34% as the central, near-fair outcome.

WHAT HAPPENS

The modal path: AWS sustains high-20s% growth on AI demand, Trainium economics defend its ~38% margin, the capex wave peaks and FCF margin normalizes off the trough toward ~11% as the build monetizes, while retail margins (NA 9.0%) and ~$70B advertising scale. Revenue compounds ~11% to ~$1.2T.

DCF ~$209 (-12%) - roughly fair-to-slightly-rich. AWS reacceleration and a normalizing FCF margin are genuinely valuable, but at the modal recovery and a ~21x terminal FCF multiple the model lands just below today's price; the capex still has to earn its return for spot to be fair.

BULL $369.75

+55.0% vs spot

Probability 20%

AI ROIC compounds; margin re-rates.

WHY 20%

AWS AI demand sustains the growth, Trainium defends/expands margins, and the capex converts to high-ROIC capacity rather than overbuild - the demonstrated AWS franchise plus custom silicon make it credible. 20% weight on the AI infrastructure earning its return.

WHAT HAPPENS

The AI capex earns a high return: AWS holds high-teens-to-20s% growth with triple-digit AI revenue, Trainium vertical integration lifts AWS margins above 38%, retail/ads operating leverage compounds, and FCF margin inflects toward ~14% as monetization catches the depreciation. Revenue compounds ~14% to ~$1.4T.

DCF ~$370 (+55%) - if the ~$200B build clearly earns its cost of capital, the FCF normalization plus an AI-platform margin re-rate carry the stock well above spot; this is the core of the bull.

ULTRA BULL $487.39

+104.3% vs spot

Probability 8%

AWS AI platform; full re-rate.

WHY 8%

Everything works - AWS AI platform leadership AND Trainium margin expansion AND advertising AND retail leverage AND a multiple re-rate, the AWS/Starlink-class compounding outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: AWS becomes the dominant AI-compute platform on Trainium economics, advertising scales into a third profit engine, retail margins keep climbing, and Amazon re-rates to a high-FCF-margin platform at ~16% margin. Revenue compounds ~16% to ~$1.5T.

DCF ~$487 (+104%) - the AI-infrastructure bet pays off in full and the FCF machine re-rates to a platform multiple; ~8% probability, the asymmetric upside the trough FCF is masking.

AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

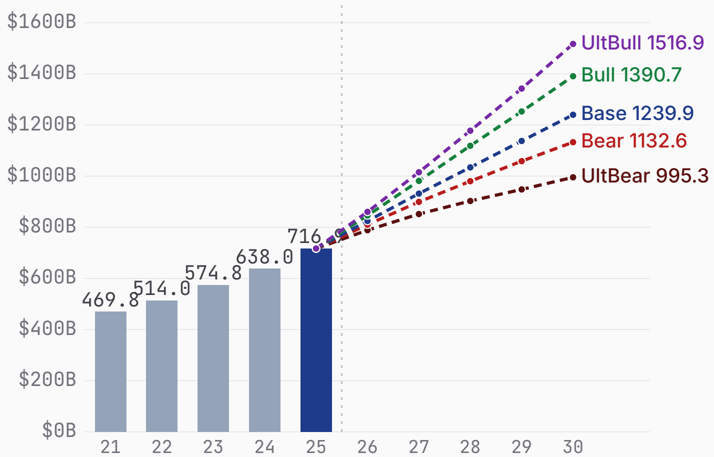
1 June 2026 · the snapshot

Amazon.com business snapshot

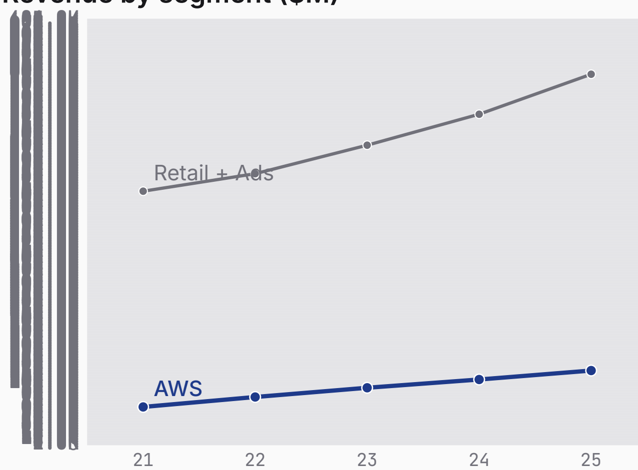
Bear $118.75 Base $209.08 Bull $369.75

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results

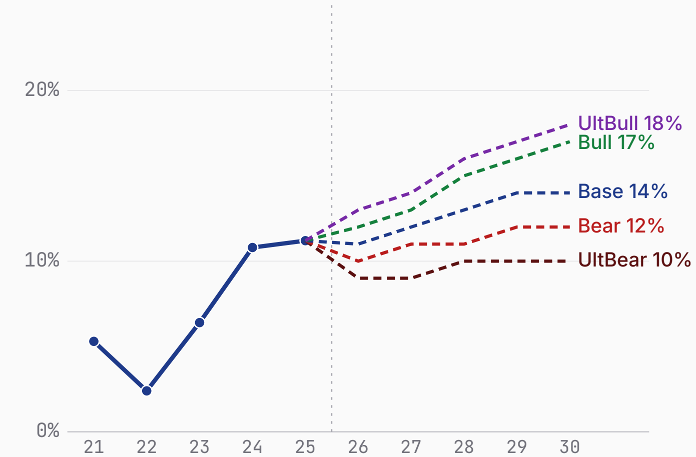
Revenue ($B) — history + scenarios to FY30



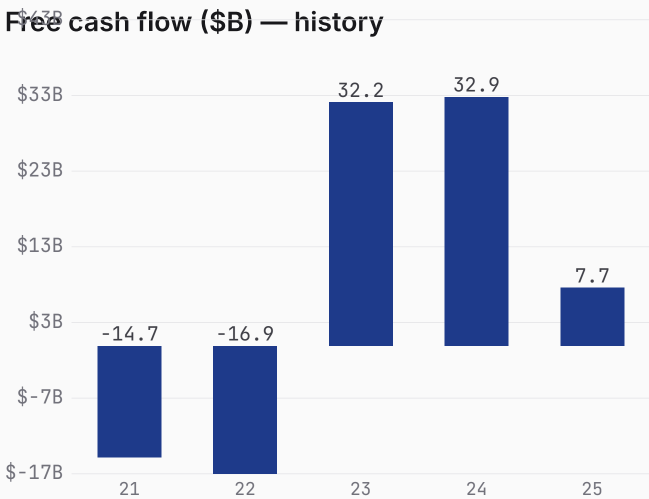
Revenue by segment ($M)



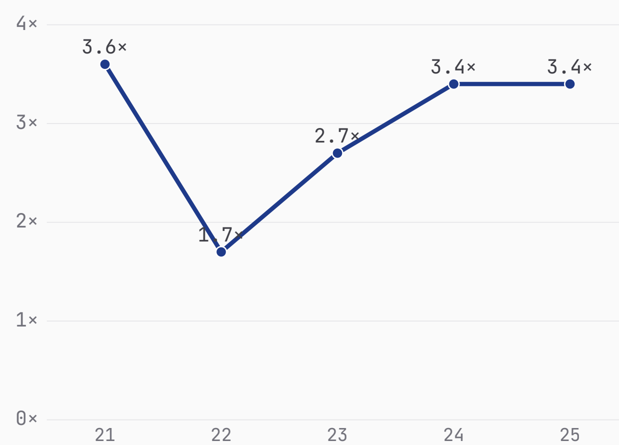
Op margin — history + scenarios



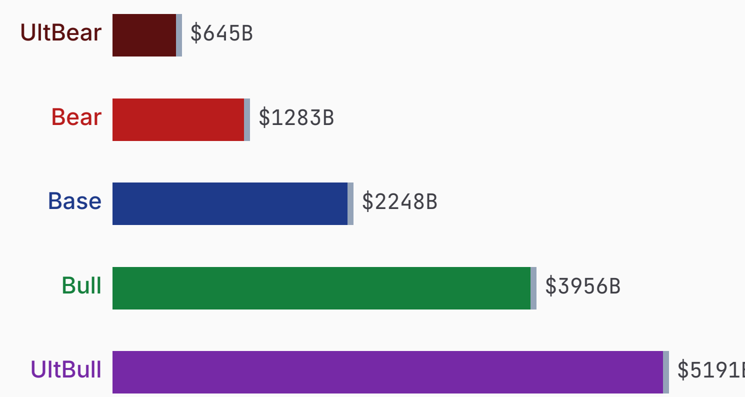
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1018724; revenue, GAAP operating income/margin, cash flow, debt), Amazon Q1 2026 release (net sales $181.5B +17%, AWS $37.6B +28% at ~37.7% margin, consolidated op margin 13.1% record, capex $44.2B +77%, ~$200B FY2026 capex guide, advertising ~$70B annualized). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs MSFT/GOOGL.

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Amazon.com 7 Powers · the moat, scored

Bear $118.75 Base $209.08 Bull $369.75

Arena. Cloud infrastructure + e-commerce/advertising - Amazon (AWS cloud leader, the largest US marketplace, fast-growing ad business) vs Microsoft Azure, Google Cloud, and retail rivals Walmart/Shopify; auditing scale, switching, and network Powers against a ~$200B AI capex bet and an FTC trial.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies (3/3)
Strong: AWS infrastructure scale + Trainium vertical integration lower unit cost; fulfillment/logistics scale across the largest US marketplace - a genuine, compounding cost advantage.

Network Economies (3/3)
The marketplace two-sided network (more buyers → more sellers → more selection) is real and self-reinforcing, though weaker than a pure social network and contestable by Walmart/Shopify.

Counter-Positioning (1/3)
Was the e-commerce disruptor; now the incumbent - little counter-positioning left, and AWS faces well-capitalized Azure/GCP, not a slow legacy.

Switching Costs · thesis leans here (3/3)
High in AWS: embedded workloads, data gravity, committed-spend contracts, and re-architecture cost make migration painful - the stickiest Power, the AWS retention moat.

Branding (2/3)
Trust/convenience (Prime) is a real consumer asset, but cloud is bought on price/performance, not brand; modest as a pricing Power.

Cornered Resource (2/3)
Custom silicon (Trainium) + Prime membership + first-party logistics are valuable and hard to copy, but not uniquely cornered against Azure/GCP/Walmart.

Process Power (3/3)
Decades of logistics/operations and cloud-operations learning curves (fulfillment, AWS reliability, custom hardware) are a real, hard-to-replicate process advantage.

PEER SET

Microsoft (Azure) — 16% gr · 45% mgn · ~35x EV/FCF
The #1 cloud rival; Azure + OpenAI is the AWS AI-compute benchmark and the main switching-cost threat.

Alphabet (Google Cloud) — 13% gr · 32% mgn · ~25x EV/FCF
#3 cloud growing fast with a full AI stack/TPUs; pressures AWS growth and margins on AI workloads.

Walmart — 5% gr · 4% mgn · ~35x P/E
Largest US retailer; scaled e-commerce + advertising + marketplace - the network/scale challenger on the retail side.

Shopify — 25% gr · 12% mgn · ~60x EV/FCF
Arms the long tail of independent merchants against the Amazon marketplace; the network-economies pressure on retail.

THREAT VECTORS · FALSIFIERS

Switching Costs · Microsoft Azure / Google Cloud (AI workloads)
falsifier: AWS growth decelerates back toward the teens as AI workloads shift to Azure/GCP, signaling the migration cost is being overcome.

Network Economies · Walmart + Shopify (marketplace)
falsifier: US marketplace/seller share erodes as Walmart's network and Shopify's merchant base take third-party GMV.

Scale Economies · AI capex overbuild / FTC antitrust
falsifier: FCF fails to recover off the trough for 2+ years, or the Oct-2026 FTC Buy-Box trial forces structural marketplace changes that dent unit economics.

COMPETITIVE READ

Amazon's Powers are genuine and durable: AWS switching costs (data gravity, committed spend) are the stickiest, layered on scale (AWS infrastructure + Trainium, fulfillment) and a self-reinforcing marketplace network. The Audit: switching_costs is the dominant, high-durability Power - hard for Azure/GCP to dislodge - but the live threat is the ~$200B AI-capex bet and whether AWS AI demand earns its cost of capital before rivals erode growth. That squares with the DCF: the franchise isn't in question, the return on the build is, and the modal case lands ~-12% (roughly fair) because spot already assumes the capex monetizes and FCF normalizes off the FY25 trough.

Amazon.com show your work

Bear $118.75 Base $209.08 Bull $369.75 · Weighted $222.01 (-6.9%)

ULTRA BEAR $59.20

ASSUMPTIONS

5y revenue CAGR (%)	+6.8
Year-5 op margin (%)	10.0
WACC (%)	9.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+6.8
Starting revenue ($B)	716.90
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	788.59	+9%	+15.77	+14.40
FY27	851.68	+9%	+25.55	+21.31
FY28	902.78	+10%	+36.11	+27.50
FY29	947.92	+10%	+47.40	+32.97
FY30	995.31	+10%	+49.77	+31.61

Σ PV explicit FCF	+127.80
+ PV terminal (g 2.5%)	462.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$590.70B
+ Cash & investments	$123.00B
– Net debt	$68.40B
= Equity value	$645.30B
FY30 shares (M)	10,900
= Expected per share	**$59.20**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$93.19	$146.71	$230.96	$363.58
0.39×	0.62×	0.97×	1.52×

BEAR $118.75

ASSUMPTIONS

5y revenue CAGR (%)	+9.6
Year-5 op margin (%)	12.0
WACC (%)	9.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+9.6
Starting revenue ($B)	716.90
Scenario probability (%)	26

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	810.10	+10%	+24.30	+22.30
FY27	899.21	+11%	+44.96	+37.84
FY28	980.14	+11%	+58.81	+45.41
FY29	1058.55	+12%	+74.10	+52.49
FY30	1132.65	+12%	+90.61	+58.89

Σ PV explicit FCF	+216.93
+ PV terminal (g 3.0%)	1010.97

EQUITY BUILD · $B & PER SHARE

Operating EV	$1227.90B
+ Cash & investments	$123.00B
– Net debt	$68.40B
= Equity value	$1282.50B
FY30 shares (M)	10,800
= Expected per share	**$118.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$182.71	$281.12	$432.54	$665.52
0.77×	1.18×	1.81×	2.79×

BASE $209.08

ASSUMPTIONS

5y revenue CAGR (%)	+11.6
Year-5 op margin (%)	14.0
WACC (%)	8.5
Terminal growth (%)	3.5
5y revenue CAGR (%)	+11.6
Starting revenue ($B)	716.90
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	824.43	+11%	+32.98	+30.39
FY27	931.61	+12%	+55.90	+47.48
FY28	1034.09	+13%	+82.73	+64.77
FY29	1137.50	+14%	+113.75	+82.08
FY30	1239.87	+14%	+136.39	+90.70

Σ PV explicit FCF	+315.43
+ PV terminal (g 3.5%)	1877.55

EQUITY BUILD · $B & PER SHARE

Operating EV	$2192.98B
+ Cash & investments	$123.00B
– Net debt	$68.40B
= Equity value	$2247.58B
FY30 shares (M)	10,750
= Expected per share	**$209.08**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$314.38	$472.73	$710.82	$1,068.83
1.32×	1.98×	2.98×	4.48×

BULL $369.75

ASSUMPTIONS

5y revenue CAGR (%)	+14.2
Year-5 op margin (%)	17.0
WACC (%)	8.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+14.2
Starting revenue ($B)	716.90
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	845.94	+12%	+42.30	+39.16
FY27	981.29	+13%	+78.50	+67.30
FY28	1118.67	+15%	+123.05	+97.68
FY29	1252.91	+16%	+162.88	+119.72
FY30	1390.74	+17%	+194.70	+132.51

Σ PV explicit FCF	+456.38
+ PV terminal (g 4.0%)	3445.30

EQUITY BUILD · $B & PER SHARE

Operating EV	$3901.68B
+ Cash & investments	$123.00B
– Net debt	$68.40B
= Equity value	$3956.28B
FY30 shares (M)	10,700
= Expected per share	**$369.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$543.28	$798.26	$1,172.91	$1,723.39
2.28×	3.35×	4.92×	7.22×

ULTRA BULL $487.39

ASSUMPTIONS

5y revenue CAGR (%)	+16.2
Year-5 op margin (%)	18.0
WACC (%)	7.8
Terminal growth (%)	4.0
5y revenue CAGR (%)	+16.2
Starting revenue ($B)	716.90
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	860.28	+13%	+51.62	+47.88
FY27	1015.13	+14%	+101.51	+87.35
FY28	1177.55	+16%	+153.08	+122.20
FY29	1342.41	+17%	+201.36	+149.11
FY30	1516.92	+18%	+242.71	+166.72

Σ PV explicit FCF	+573.26
+ PV terminal (g 4.0%)	4562.89

EQUITY BUILD · $B & PER SHARE

Operating EV	$5136.15B
+ Cash & investments	$123.00B
– Net debt	$68.40B
= Equity value	$5190.75B
FY30 shares (M)	10,650
= Expected per share	**$487.39**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$709.53	$1,032.91	$1,503.69	$2,189.03
2.97×	4.33×	6.30×	9.18×

Amazon.com supporting analysis · disclaimers · glossary

Bear $118.75 Base $209.08 Bull $369.75

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **The FCF multiple is distorted by the capex trough.** FY25 FCF was crushed to ~$7.7B (from ~$33B in FY24) by the ~$200B build; the DCF prices the recovery off the trough, not the depressed print - that's why the multiple looks extreme.
2. **AWS reaccelerating is the whole bull.** AWS +28% (fastest in 15 quarters) at ~$150B run-rate and ~37.7% margin, with triple-digit AI revenue growth - the question is whether that demand justifies the depreciation.
3. **Trainium is the margin defense.** Custom silicon (Trainium/Graviton/Nitro) is >$20B run-rate with ~$225B commitments and Trainium2 sold out - vertical integration lowers AI cost and defends AWS margins as the build scales.
4. **Advertising is a high-margin third engine.** ~$70B annualized and growing fast, structurally high-margin - it scales operating income independent of the AWS capex cycle.
5. **The swing is AWS AI ROIC, not solvency.** ~$54B net cash and a record 11.2% op margin mean no balance-sheet risk; the downside is whether ~$200B/yr of capex earns its cost of capital, not survival.

FALSIFICATION TRIGGERS

Bull validation

AWS growth holds high-20s% with expanding margin · FCF margin recovers off the ~1% trough toward 10%+ · Trainium commitments convert to revenue · advertising sustains 20%+ growth

Bear validation

AWS growth decelerates back toward the teens · capex keeps rising while FCF stays trough-bound · depreciation compresses AWS margin below ~35% · adverse FTC/EU cloud ruling

Reframe needed

if AWS AI demand cools or commoditizes and the ~$200B build becomes a visible overbuild (FCF fails to recover 2+ years), re-rate the terminal toward a low-ROIC capital-heavy multiple

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Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

AWS — Amazon Web Services - the cloud-infrastructure segment (~$150B run-rate, ~38% operating margin, ~16-17% of revenue but the majority of operating income); reaccelerated to +28% on AI demand, the central swing.

Capex / AI infrastructure — Capital expenditure on AI data centers and chips (~$200B guided FY26, ~+50% YoY); the cash drag that crushed FY25 FCF, with a 6-24 month lag to monetization - the bear's mechanism.

Trainium — Amazon's custom AI training silicon (with Graviton/Nitro, >$20B run-rate, ~$225B commitments, Trainium2 sold out); vertical integration that lowers AI cost and defends AWS margins.

AI ROIC — Whether the ~$200B/yr AI-infrastructure build earns its cost of capital; the biggest 5-year swing factor.

FCF margin — Free cash flow / revenue (~1% in FY25 at the capex trough vs ~5% in FY24); the bet is recovery off the trough.